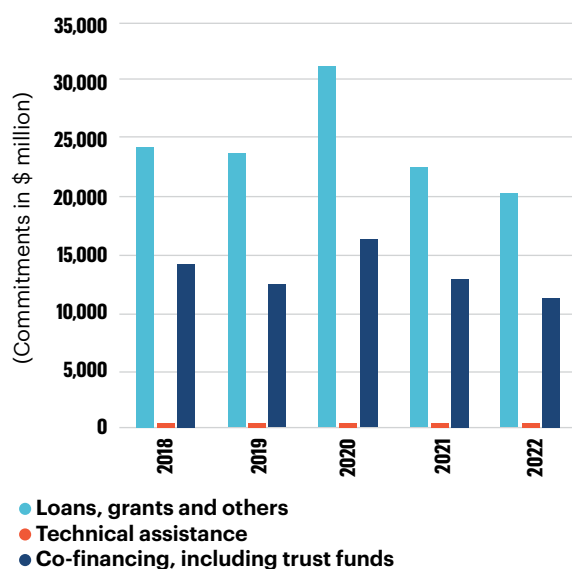
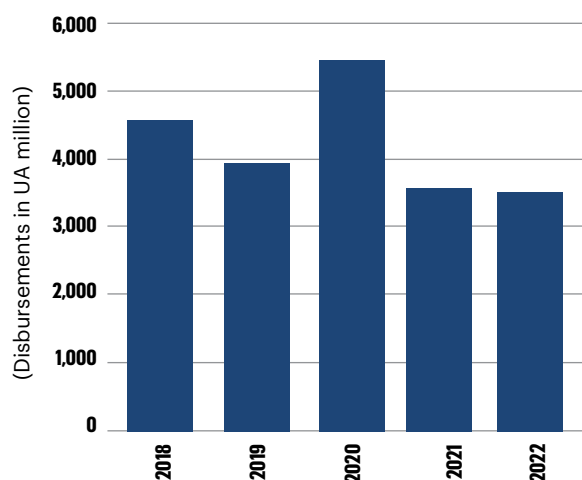


ASIAN DEVELOPMENT BANK



AFRICAN DEVELOPMENT BANK



Note 1 UA (Unit of Account) = \$1.33

try-level collaboration; strengthening co-financing; and catalysing private sector engagement.

The MDB Reform Tracker, developed by the Washington-based non-profit Centre for Global Development, highlights that a very broad MDB reform agenda is firmly in play. “MDBs are actively considering a wide-ranging reform agenda, and we have already seen notable progress in areas like raising lending limits and launching innovative finance programmes,” it says.

Some of the reforms being undertaken include the World Bank lowering its E/L (equity to loan) ratio and plans to eliminate its statutory lending limit. ADB has also approved capital management reforms that unlock \$100 billion in new funding over the next decade to address crises in Asia and the Pacific, including climate change, through an update of its CAF.

A LONGER HORIZON

But the reports are just one part of the overall efforts to strengthen these institutions. The Delhi declaration also has other provisions, including the G20 Roadmap for Implementing the Recommendations of the G20 Independent Review of MDBs’ Capital Adequacy Frameworks that could potentially yield additional lending headroom of approximately \$200 billion over the next decade. Quota reforms at financial bodies like the IMF, too, have been a long-pending demand of developing nations, and the G20 leaders have also reiterated their commitment to a strong, quota-based, and adequately resourced IMF.

Finance Minister Nirmala Sitharaman said the G20 finance ministers and central bank governors also gave a call for further deliberations on the IEG recommendations to suggest the way

forward before their next meeting in April 2024. “India will work with Brazil under its 2024 presidency to progress towards implementation of IEG’s recommendations,” she said after the October meeting.

Apart from the challenge of raising capital from the private sector and issues such as credit ratings, moving forward on the implementation of CAF and more representation of the Global South will remain key issues. But given that the G20 presidency will be hosted by countries of the Global South in the next two years—Brazil in 2024 and South Africa in 2025—it is expected that they will keep the foot on the pedal on this key agenda that would benefit developing countries and possibly pave the way for a more equitable world. **BT**

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